

NVIDIA Corporation

NVDA NASDAQ

Buy	\$223.48 ▲ 2.75%	12M Price Target \$265.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.41T
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NVDA: Chips Rally as AI Spending Wave Keeps Building

WHAT HAPPENED

- NVDA bounced +2.75% today after two red days — the whole chip complex is ripping (Tech ETF +1.77%), so this is sector-wide risk-on, not company-specific news. The narrative catching fire: analysts calling NVDA the "central bank of AI" — meaning they set the price/supply of the most critical commodity in tech right now.
- CoreWeave (CRWV) earnings this week are the real tell — CoreWeave is basically an NVDA reseller (they rent out NVDA chips as cloud compute). If their numbers are strong, it confirms AI demand is still accelerating, which flows straight back to NVDA orders.

WHY IT MATTERS

The options market is screaming bullish — a put/call ratio of 0.47 means traders are buying more than 2 calls (bets stock goes up) for every put (bets it goes down), and we're seeing unusual call buying at \$187-192 strikes that's 2-11x normal volume. That's smart money positioning for a continued melt-up, likely into the next earnings print. The bigger picture: NVDA is trading at 82% of its 52-week range, which sounds topky, but every time the stock consolidates in the \$215-225 zone lately, it breaks higher — that's textbook bullish base-building. The real story is that AI capex from Microsoft, Google, Meta, Amazon is still going UP into 2027, and there's no credible alternative to NVDA's chips at scale yet.

POLICY & POLITICAL WATCH

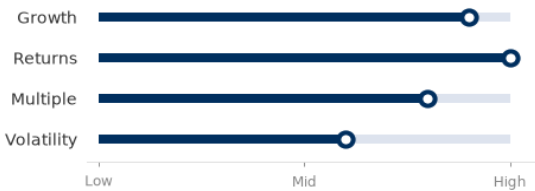
The critical policy angle right now is the Trump administration's China chip deal — NVDA agreed to give the US government 15% of revenue from H2O chip sales to China in exchange for export licenses. This is unusual (basically a revenue-sharing agreement with Uncle Sam) but it re-opens the China market that was effectively closed, which is a net positive despite the tax. Watch for congressional pushback on this arrangement — some hawks in both parties want tighter China restrictions, and if that momentum builds, the H2O pipeline could get squeezed again. Also on the radar: the CHIPS Act 2.0 discussions and any executive orders on federal AI procurement — both directional tailwinds if they advance.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$223.48
12M Price Target	\$265.00
Upside / (Downside)	+18.6%
Market Cap	\$5.41T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.85
FY2027E EPS	\$6.40
Fwd P/E	46.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$228.00	\$210.00
6 Months	\$270.00	\$245.00	\$195.00
1 Year	\$310.00	\$265.00	\$180.00
2 Years	\$380.00	\$300.00	\$160.00
5 Years	\$550.00	\$400.00	\$180.00
10 Years	\$900.00	\$600.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.77%) leading everything — chip stocks specifically catching a bid as AI capex numbers keep beating. Energy still hot on the 5-day (+6.05%) because AI data centers need massive power — that's a direct second-order play on NVDA demand.

COOLING OFF: Financials (-0.43% 5D) and Real Estate (-2.19% 5D) — rate cut expectations getting pushed back means less relief for these rate-sensitive sectors.

ROTATION WATCH: Money is rotating INTO AI infrastructure and OUT of defensives — this is a classic risk-on move that tends to favor NVDA specifically because it's the highest-quality liquid AI proxy.

RELATED PLAY: If NVDA keeps running, the power/utility names supplying data centers (VST, CEG) and the networking plays (AVGO, ANET) are the second-order winners — Broadcom especially, which the news flow already highlighted this morning.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Custom AI chip demand from hyperscalers surging — they're the #2 pick behind NVDA and picking up meaningful share
- CRWV (CoreWeave): Wall Street raising price targets ahead of earnings — pure-play NVDA cloud reseller, its strength = NVDA strength

NVDA CONTEXT: NVDA is leading, not lagging — it's back near 52-week highs while the sector consolidates, which tells you institutional money is still crowding into the highest-quality name. When the leader breaks out first, it usually pulls the group higher — bullish setup.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: \$210-218 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Hyperscaler capex guidance cuts, China export ban reinstated, or gross margins fall below 65%

Hedging: Buy protective puts 10% out-of-the-money, or pair with SOXS for tail risk